Lecture 8: Online Retail and Services

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Learning Objectives

- **Understand the environment in which the online retail sector operates today.**
- **Explain how to analyze the economic viability of an online firm.**
- **Identify the challenges faced by the different types of online retailers.**
- **Describe the major features of the online service sector.**
- **Discuss the trends taking place in the online financial services industry.**
- **Describe the major trends in the online travel services industry today.**
- **Identify current trends in the online career services industry**

Blue Nile Sparkles for Your Cleopatra

- Why is selling (or buying) diamonds over the Internet difficult?
- How has Blue Nile built its supply chain to keep costs low?
- How has Blue Nile reduced consumer anxiety over online diamond purchases?
- What are some vulnerabilities facing Blue Nile?
- Would you buy a ksh.500,000 engagement ring at Blue Nile?

What's New in Online Retail, 2013–2014

- Mobile commerce nearly doubles
- Rapid growth in social commerce
- Online retail still the fastest growing retail channel
- Buying online a normal, mainstream experience
- Selection of goods increases, includes luxury goods
- Informational shopping for big-ticket items expands
- Specialty retail sites show rapid growth
- Integration of multiple retailing channels

The Online Retail Sector

- Most important theme in online retailing is effort to integrate online and offline operations
- $1600 trillion U.S. economy
- U.S. retail market
  - $11.4 trillion
  - 71% of total gross domestic product (GDP)

The Retail Industry

- 7 segments (clothing, durable goods, etc.)
  - For each, uses of Internet may differ
    - Information vs. direct purchasing
- General merchandisers vs. specialty retailers
- Mail order/telephone order (MOTO) sector most similar to online retail sector
  - Sophisticated order entry, delivery, inventory control systems
  - Lacks physical stores

Composition of the U.S. Retail Industry

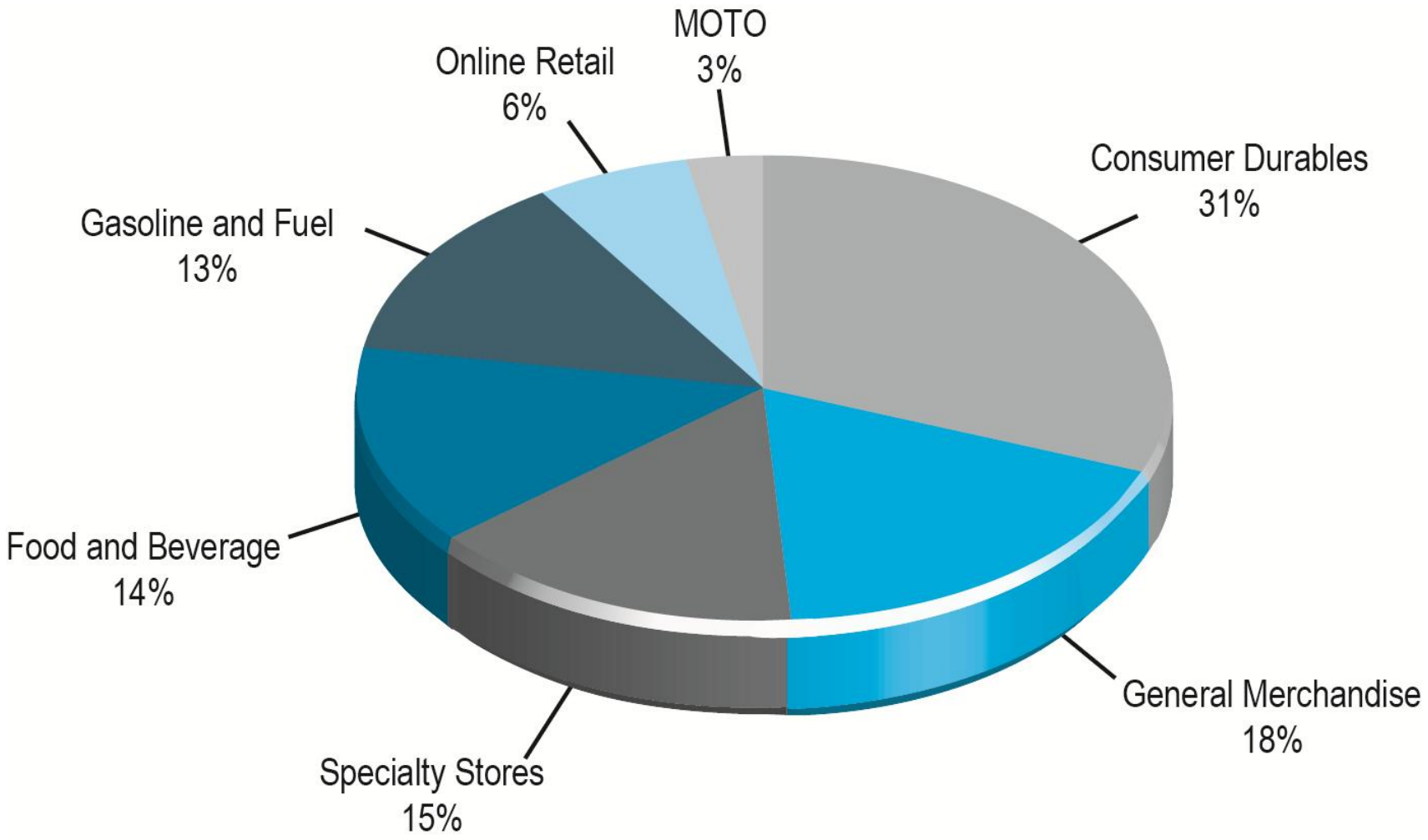


Figure 9.1, Page 566

SOURCE: Based on data from U.S. Census Bureau, 2012.

E-commerce Retail: The Vision

- Reduced search and transaction costs; customers able to find lowest prices
- Lowered market entry costs, lower operating costs, higher efficiency
- Traditional physical store merchants forced out of business
- Some industries would be disintermediated

- Few of these assumptions were correct—structure of retail marketplace has not been revolutionized
- Internet has created new venues for multi-channel firms and supported a few pure-play merchants
- "*pure play*" is used to describe a company with a singular focus

The Online Retail Sector Today

- Smallest segment of retail industry (5–6%)
- Growing at faster rate than offline segments
- Revenues have resumed growth
- Around 73% of Internet users bought online in 2013
- Primary beneficiaries:
  - Established offline retailers with online presence (e.g., Staples)
  - First mover dot-com companies (e.g., Amazon)

The Growth of Online Retail in the United States

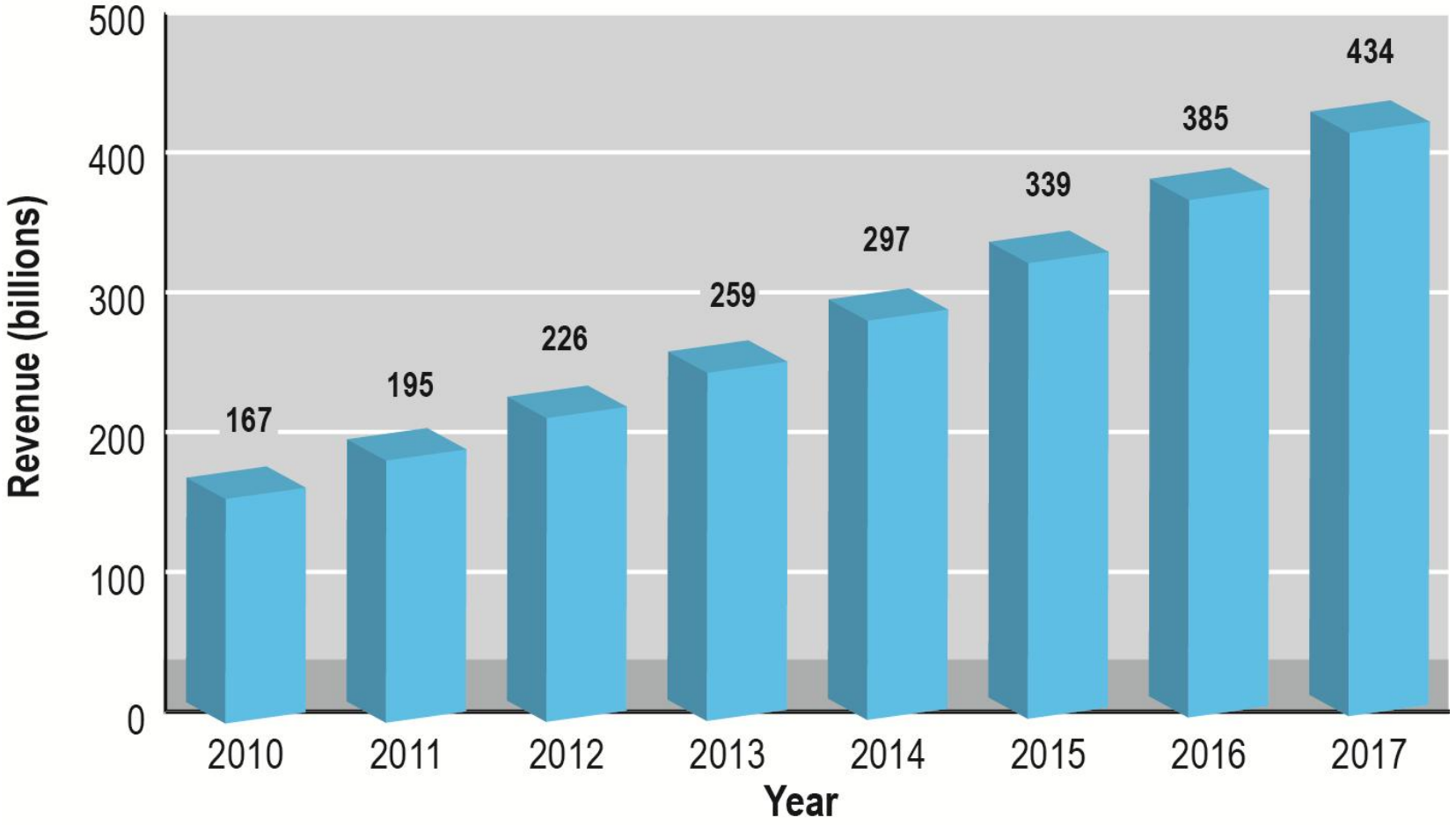


Figure 9.2, p. 569

SOURCES: Based on data from eMarketer, Inc.,.

Multi-Channel Integration

- Integrating Web operations with traditional physical store operations
  - Provide integrated shopping experience
  - Leverage value of physical store
- Types of integration
  - Online order, in-store pickup
  - Web promotions to drive customers to stores
  - Gift cards usable in any channel
- Increasing importance of mobile devices, social commerce, and tablets

Analyzing the Viability of Online Firms

- Economic viability:
  - Ability of firms to survive as profitable business firms during specified period (i.e., 1–3 years)
- Two business analysis approaches:
  - Strategic analysis
    - Focuses on both industry as a whole and firm itself
  - Financial analysis
    - How firm is performing

Strategic Analysis Factors

- Key industry strategic factors
  - Barriers to entry-can new entrants be barred from entering from entering the industry through high capital costs or intellectual property barriers (patents or copyrights)?
  - Power of suppliers-can suppliers dictate high prices to the industry or can vendors choose from among many suppliers or do firms have bargaining power for cheaper supplies?
  - Power of customers-can customers choose from many competing suppliers challenging high prices
  - Existence of substitute products-can the functionality of the product or service be obtained from alternative channels or competing products in different industries
  - Industry value chain-is the chain of production and distribution in the industry changing in the ways that benefit or harm the firm
  - Nature of intra-industry competition-is the basis of competition within industry based on differentiated products or services, price, scope of offerings or focus of the offering

Strategic Analysis Factors

- Firm-specific factors
  - **Firm value chain**-has the firm adopted business processes and methods of operation that allow it to achieve the most efficient operations in the industry?
  - **Core competencies**-does the firm have unique competencies and skills that cannot easily be duplicated by other firms?
  - **Synergies**-does the firm have access to the competencies and assets of related firms either owned outright or through strategic partnerships and alliances.
  - **Technology**-has the firm developed proprietary technologies that allow it to scale with demand? And has it developed or acquired operational technologies?
  - **Social and legal challenges-**has the firm put in place policies to address customer trust issues (privacy and security)? Is the firm the subject of lawsuits

Financial Analysis Factors

- Statements of Operations
  - Revenues- are revenues growing and at what rate?
  - Cost of sales-what is the cost of sales (cost the products sold and other related costs)
  - Gross margin-what is the firms gross margin and is it increasing or decreasing(gross margin=gross profit/net sales revenue)
  - Operating expenses-what are the firms operating expenses are they increasing or decreasing? OE –includes cost of marketing, technology and administrative overhead
  - Operating margin-what did the company earn from its current operations? OM=operating income or loss/net sales revenue
  - Net margin-tells the percentage of its gross sales it able to retain after all expenses are deducted.
    - Pro forma earnings—EBITDA-earnings before income taxes, depreciation and amortization

Financial Analysis Factors

- Balance sheet
  - ❑Provides financial snapshot of a firms:
  - **Assets** (stored value) , **current assets** (cash, securities ,accounts receivables etc)
  - **Liabilities** (outstanding obligations of the firm) , **current liabilities** (debts due after one year), **long-term debt**
  - **Working capita**l=assets –current liabilities

E-tailing Business Models

- Virtual merchant
  - Is a single-channel web firms that generate all their revenue from online sales e.g. Amazon. What are benefits of such firms (buildings, maintenance of physical stores etc.)
  - Disadvantages –cost of building and maintaining websites , customer acquisition costs, steep learning curve

E-tailing Business Models

- Bricks-and-clicks (multi-channel merchants)
  - Have networks of physical stores (primary channel) and have introduced online offerings

    e.g. Walmart, JCPenney, Sears
- Catalog merchant
  - Are established companies that have national offline catalog operation (primary channel) and have also developed online capabilities e.g. Lands' End, L.L. Bean, Victoria's Secret

E-tailing Business Models

- Manufacturer-direct
  - Are single or multi-channel manufacturers who sale directly online to consumers without the intervention of retailers e.g. Apple, Dell, Sony
  - Dell, Compaque……etc
- Supply-push model
  - Products are made prior to orders received based on estimated demand and stored in warehouses.
- Demand-pull model
  - Products are not built until an order is received.

E-commerce in Action: Amazon.com

- Vision:
  - Earth's biggest selection, most customer-centric
- Business model:
  - Retail, Third-Party Merchants, and Amazon Web Services (merchant and developer services)
- Financial analysis:
  - Continued explosive revenue growth, profitable
- Strategic analysis/business strategy:
  - Maximize sales volume, lower costs and cut prices, acquisitions, mobile shopping, Kindle (Amazon *Kindle* is a series of e-book readers designed and marketed by Amazon.com)
- Strategic analysis/competition:
  - Online and offline general merchandisers, Web services
  - Largest competitors are eBay, Wal-Mart, sears and JCPenny

E-commerce in Action: Amazon.com

- Strategic analysis/technology:
  - Largest, most sophisticated collection of online retailing technologies available (website management, search, customer interactions etc.)
- Strategic analysis/social, legal:
  - Sales tax-wrongly failing to collect and remit taxes, facing patent lawsuits
- Future prospects:
  - In 2013, Amazon registered more than $31 billion in sales, compared to $26 billion in 2012 for same period
  - Increased spending on new technology initiatives
    - Smartphone and Kindle TV set-top box
    - Video content
    - New product categories and territories

Common Themes in Online Retailing

- Online retail fastest growing channel on revenue basis
- Profits for startup ventures have been difficult to achieve
- Disintermediation has not occurred
- Established merchants need to create integrated shopping experience to succeed online
- Growth of online specialty merchants (e.g., Blue Nile)
- Extraordinary growth of social, local, and mobile e-commerce

Using the Web to Shop 'Til You Drop

- What do comparison shopping sites offer consumers?
- Why are comparison shopping sites more successful with hard goods than soft goods?
- How is the use of mobile devices impacting comparison shopping sites?
- How may Google Shopping impact shopping comparison sites?

The Service Sector: Offline and Online

- Service sector:
  - Largest and most rapidly expanding part of economies of advanced industrial nations
  - Concerned with performing tasks in and around households, business firms, and institutions
    - Includes doctors, lawyers, accountants, business consultants, and so on
  - Employs 4 out of 5 U.S. workers
  - 75% of economic activity

Service Industries

- Major service industry groups:
  - Finance
  - Insurance
  - Real estate
  - Travel
  - Professional services—legal, accounting
  - Business services—consulting, advertising, marketing, and so on
  - Health services
  - Educational services

Service Industries

- Two categories
  - Transaction brokers
  - Hands-on service providers
- Features:
  - Knowledge- and information-intense
    - Makes them uniquely suited to e-commerce applications
  - Personalization and customization
    - Level differs depending on type of service

Online Financial Services

- E-commerce has transformed banking and financial services
  - Major institutions deploy online services
- Online financial consumer behavior
  - Most online consumers use financial services sites
    - Check balances
    - Pay bills
  - Experienced users move on to more complex financial services
  - Number of people using mobile devices for financial services is surging

Online Banking and Brokerage

- Online banking pioneered by NetBank and Wingspan; no longer in existence
- Established brand-name national banks have taken substantial lead in market share
- Two-thirds of U.S. Internet users use online banking
- Early innovators in online brokerage (E*Trade) have been displaced by established brokerages (Fidelity, Schwab)

Multi-channel vs. Pure Online Financial Service Firms

- Online consumers prefer multi-channel firms with physical presence
- Multi-channel firms
  - Growing faster than pure online firms
  - Lower online customer acquisition costs
- Pure online firms
  - Cannot provide all services that require face-to-face interaction

Financial Portals and Account Aggregators

- Financial portals
  - Comparison shopping services, independent financial advice, financial planning
  - Revenues from advertising, referrals, subscriptions
  - Example: Yahoo! Finance, Quicken.com, MSN Money
- Account aggregation
  - Pulls together all of a customer's financial data at a personalized Web site
  - Privacy concerns: control of personal data, security, and so on
  - Example: Yodlee

Online Mortgage and Lending Services

- Early entrants hoped to simplify and speed up mortgage value chain
- Three kinds of online mortgage vendor today
  - Established online banks, brokerages, and lending organizations
  - Traditional mortgage vendors
  - Pure online mortgage firms
- Online mortgage industry has not transformed process of obtaining mortgage
  - Complexity of process

Online Insurance Services

- Online term life insurance:
  - One of few online insurance with lowered search costs, increased price comparison, lower prices
  - Commodity-products are complex, information intensive (to write a policy)
- Most insurance not purchased online
- Online industry geared more toward
  - Product information, search
  - Price discovery
  - Online quotes
  - Influencing the offline purchasing decision

Online Real Estate Services

- Early vision: Disintermediation of a complex industry
- However, major impact is influencing of purchases offline
  - Impossible to complete property transaction online
  - Main services are online property listings, loan calculators, research and reference material, with mobile apps increasing
- Despite revolution in available information, there has not been a revolution in the industry value chain

Online Travel Services

- One of the most successful B2C e-commerce segments
  - More travel is booked online than offline
  - Online travel services revenues in 2013: $137 billion
- For consumers: More convenience than traditional travel agents
- For suppliers: A singular, focused customer pool that can be efficiently reached through onsite advertising

Online Travel Services (cont.)

- Travel an ideal service/product for Internet
  - Information-intensive product
  - Electronic product—travel arrangements can be accomplished for the most part online
  - Does not require inventory
  - Does not require physical offices with multiple employees
  - Suppliers are always looking for customers to fill excess capacity
  - Does not require an expensive multi-channel presence

Zipcar business model

- Zipcar is a membership-based, car sharing company that serves over 605,000 members with a fleet of over 8,000 vehicles.
- The company's operations extend across markets in North America and the U.K. along with a presence in over 230 college campuses.
- It competes with traditional car rental companies like Hertz Global Holdings, Avis Budget Group and car sharing services like Connect by Hertz, Enterprise's WeCar, UHaul's UCarShare and City Car Share.

Zipcar Shifts into High Gear

- What is the Zipcar business model? How does it make money?
- How does Zipcar use the Internet?
- Will Zipcar work only in urban markets? Can it expand to the suburbs?
- What impact do you think Avis's acquisition of Zipcar will have?

Online Travel Services Revenues

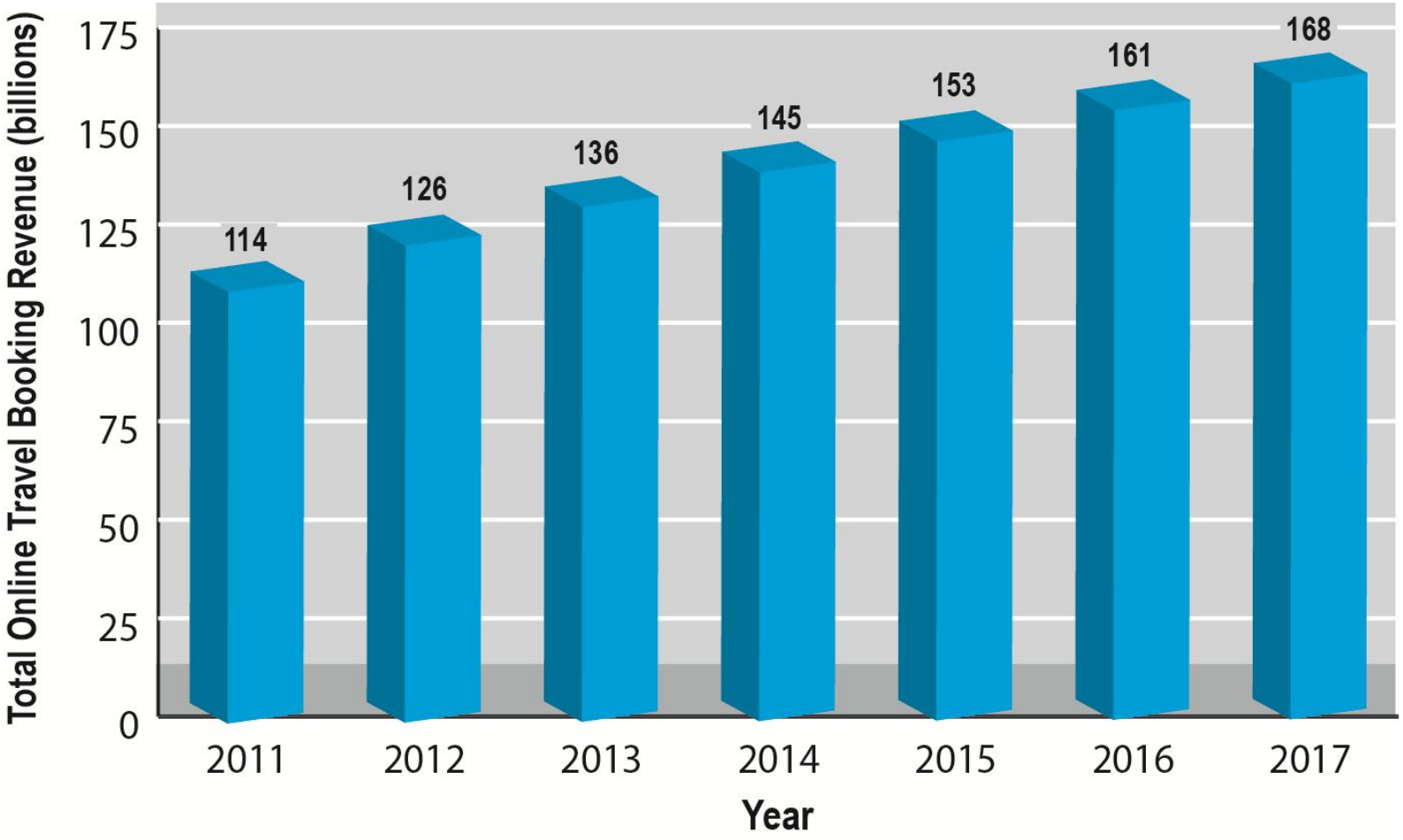


Figure 9.3 , Page 599

SOURCE: Based on data from eMarketer, Inc., 2013d.

The Online Travel Market

- Four major sectors:
  - Airline tickets
    - Greatest source of revenue
    - Two-thirds of all online travel spending
  - Hotel reservations
    - 19% of travel spending in 2013
  - Car rentals
    - 9% of travel spending in 2013
  - Travel packages
    - 2% of travel spending in 2013
- Corporate online-booking solutions (COBS)
  - Provide integrated airline, conference Centre and auto rental services at a single site

Online Travel Industry Dynamics

- **Intense competition** among online providers
- **Price competition** difficult-shoppers etc. can comparison shop easily hence compete on scope of offering ease of use ,payment options and personalization
- Industry consolidation-building stronger multichannel travel sites by purchasing weak and inexpensive travel agencies
- Industry impacted by meta-search engines
  - Facilitate searches for best prices on travel and lodgings and collect finder or affiliate fees for sending customers to lowest-price sites
  - Commoditize online travel
- Mobile applications are also transforming industry
- Social media content, reviews have an increasing influence on travel purchases

Phony Reviews

- Should there be repercussions to individuals and/or businesses for posting false reviews of products or services?
- Can phony reviews be recognized and moderated?
- Do you rely more on some types of reviews or comments on Web sites and blogs over others?

Online Career Services

- Top sites generate more than $1 billion annually
- Two main players: CareerBuilder, Monster
- Traditional recruitment tools:
  - Classified, print ads, career expos, on-campus recruitment, staffing firms, internal referral programs
- Online recruiting
  - More efficient, cost-effective, reduces total time-to-hire
  - Enables job hunters to more easily distribute resumes while conducting job searches
  - Ideally suited for Web due to information-intense nature of process

It's Just Information: The Ideal Web Business?

- Recruitment ideally suited for the Web
  - Information-intense process
  - Initial match-up doesn't require much personalization
- Saves time and money for both job hunters and employers
- One of most important functions:
  - Ability to establish market prices and terms (online national marketplace)

Online Recruitment Industry Trends

- **Consolidation**
- **Diversification**: Niche employment sites-specialty niche
- **Localization**:
  - Local vs. national, Craigslist-building websites that focus on local or international job markets
  - *craigslist* provides local classifieds and forums for jobs, housing, for sale, personals, services, local community, and events.
- **Job search engines/aggregators**:
  - Search engines that focus on focus on jobs
- **Social networking**:
  - LinkedIn (332 million in 3rd qt of 2014); Facebook (1.23 billion by Feb. 2014), apps-1.2 billion by Dec 2012 and estimated to be 4.4 billion by 2017
- **Mobile Web sites and apps**

END

Question.

And

Comments